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Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSECOM200 - ADVANCED ACCOUNTING

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Answer Questions (Word/Phrase/Sentence)

Answer any **12** questions

Each question carries **1** marks

1. Mention two methods of disposal of surplus of Balancesheet. [U] / [CO1]

2. The method that ensures continuity of shareholders' interest is ____ [U] / [CO2]

3. What represents a bank's ownership funds? [U] / [CO3]

4. A Current Ratio Measures Short term ---------- of banks. [U] / [CO4]

5. List the name of any two schedules that are part of Balancesheet of an Insurance company. [U] / [CO1]

6. Which method is not used for calculating purchase consideration ? [U] / [CO2]

7. What is the name of the Slip used for cash deposits? [U] / [CO3]

8. What does NPA Stands for? [U] / [CO4]

9. How does a company calculate Life Assurance Fund? [U] / [CO1]

10. In External Reconstruction, do the share holders of old company exists as shareholders of the new company? [U] / [CO2]

11. What provision is applied to loss assets? [U] / [CO3]

12. Tier I Capital is also called as ----------Capital of Banks. [U] / [CO4]

13. Differentiate Consideration for Annuity and Premium for Life Policy. [K] / [CO1]

14. What is the reduction allowed before the due date of a bill? [U] / [CO3]

[1x12 = 12]

Part B

Short Answer/ Problem Type Questions

Answer any **4** questions

Each question carries **7** marks

15. Descibe the calculation of claims to be debited to revenue account. [U] / [CO1]

16. From the following information, calculate the amount of premium to be credited to Revenue Account. [A] / [CO1]

Premium received during 2017-18	32,00,000
Outstanding premium on 31.3.2018	2,20,000
Premium received in advance on 31.03.2018	80,000
Outstanding premium on 01.04.2017	200000
Premium received in advance on 01.04.2017	1,00,000
Bonus in reduction of premium adjusted	50000
Re-insurance premium for the year	200000

17. Raju Ltd. and Radha Limited are two companies carrying on the same line of business. Their capitals are 6 lakhs and two lakhs respectively (Rs. 10 each). They decided to amalgamate and formed a new company called Ramu Limited. Each share in Raju Limited and Radha Limited valued at rupees 15 and 25 respectively for amalgamation. Calculate purchase consideration. [A] / [CO2]

18. From the following particulars, prepare the Profit and Loss Account of MGM Bank Ltd., for the year ending 31st March 20XX :- [A] / [CO3]

	Rs in '000		Rs in '000
Interest on Deposits	3,200	Establishment	500
Commission (Cr)	100	Discount on bill discounted	1,490
Interest on loans	2,490	Interest on Overdraft	1,600
Sundry Charges (Dr)	100	Interest on Cash Credit	2,320
Rent and Taxes	200	Auditor's Fees	35
Director's Fees	16	Bad debts to be written off	300

19. From the following information obtained from the books of Travancore Bank Ltd and MSC Bank Ltd for the year ended 31st March 20XX , [A] / [CO4]
Calculate and compare the following ratios:
1)) Capital to Risk-Weighted Ratio 2) Net Profit Ratio 3) Return on Equity .

Particulars	Travancore Bank Ltd (Rs. In crores)	MSC Bank Ltd (Rs. In crores)
Tier I Capital	900	800
Tier II Capital	200	150
Risk Weighted Assets	8,000	7,000
Interest Earned	2,200	1,800
Interest Expended	1,200	900

Non-Interest Income	300	200
Operating Expenses	600	500
Average Total Assets	24,000	20,000
Shareholder's Funds	3,000	2,000
Tax Rate	30%	30%

20. What are the qualitative indicators used for measuring a banks performance? [U] / [CO4]

[7x4 = 28]

Part C

Essay-Problem Type Questions

Answer any **2** questions

Each question carries **15** marks

21. The following Trial Balance was extracted from the books of Bharat Life Assurance Co. Ltd. as on 31st March, 2006: [A] / [CO1]

Particulars	**Dr. (Rs.)**	**Cr. (Rs.)**
Share Capital (shares of Rs. 10 each)		1,00,000
Life Assurance Fund as on 1st April, 2005		29,72,300
Dividends paid	15,000	
Bonus to policyholders	31,500	
Premiums received		1,61,500
Claims paid	1,97,000	
Commission paid	9,300	
Management Expenses	32,300	
Mortgage in India	4,92,200	
Interest and Dividends received		1,12,700
Agents' Balances	9,300	
Freehold Premises	40,000	
Investments	23,05,000	
Loan on Company's Policies	1,73,600	
Cash on Deposit	27,000	
Cash in hand and on Current Account	7,300	
Surrenders	7,000	
Total	33,46,500	33,46,500

You are required to prepare the Revenue Account of the company for the year ended 31st March, 2006 after taking the following matters into consideration:

Additional Information: (a) Claims admitted but not paid – Rs. 9,300 , (b) Management Expenses due – Rs. 200 , (c) Interest accrued – Rs. 19,300 , (d) Premiums outstanding – Rs. 12,000.

22. The Balance Sheet of M/s Unfortunate Limited as on 31st December, 2024 was as under: [A] / [CO2]

Liabilities	**Amount**	**Assets**	**Amount**
Share Capital		Land & Building	1,30,000
(2500 shares of Rs. 100	2,50,000	Plant & Machinery	75,000

Each, fully paid)		Stock	50,000
		Debtors	57,000
Sundry Creditors	1,25,000	Cash	1,000
		Preliminary Expenses	5,500
		Profit & Loss Account	56,500
	3,75,000		**3,75,000**

The shareholders of the company resolved to take the company into voluntary liquidation and to form M/s Fortune Limited, a new company with an authorised share capital of Rs. 10 lakhs to take over the business on the following terms:

(i) Preferential creditors of Rs. 15,000 are to be paid in full.
(ii) Unsecured creditors are to receive 50 paise in the rupee in full settlement of their claims at par value in 7% Debentures of M/s Fortune Limited.
(iii) 2,500 Equity Shares of Rs. 100 each, Rs. 60 paid, are to be distributed pro rata to existing shareholders.

Five shareholders holding 2,000 shares dissented and their interest was purchased at Rs. 50 per share by an assenting shareholder to whom the shares were transferred.
Half the unsecured creditors opted to be paid in cash, and the funds for this purpose were found by calling up the balance of Rs. 40 per share. Cost of liquidation amounting to Rs. 3,500 was discharged from the amount so called up.

Compute the purchase consideration and prepare the Balance Sheet of the new company assuming that Plant and Machinery, Stock and Trade Debtors were acquired at their book values.

23. On 31st March 20XX, the following balances stood in the books of PR Bank Ltd., after preparations of its Profit and Loss Account: - [A] / [CO3]

	Rs		Rs
Issued and Subscribed Capital	40,00,000	Cash with RBI	1,00,00,000
Reserve Fund	62,00,000	Cash with other Banks	60,00,000
Fixed Deposits	4,26,00,000	Bills discounted and Purchased	38,00,000
Savings Bank Deposits	1,90,00,000	Loans and Cash Credit	5,10,00,000
Current Accounts	2,32,00,000	Bills Payable	70,000
Money at call and Short Notice	18,00,000	Unclaimed Dividend	60,000
Investments	2,50,00,000	Rebate on bills discounted	50,000
Profit and Loss a/c (cr) (1/4/XX)	13,50,000	Short loans (Borrowed from other banks)	47,50,000
Dividend for previous year	4,00,000	Furniture	11,64,000
Premises	29,50,000	Other Assets	3,36,000
Cash in hand	3,80,000	Net Profit for the Year	15,50,000

[15x2 = 30]